

From its humble beginnings as a discount coupon venture, Snapdeal has



2007

Kunal Bahl and Rohit Bansal start MoneySaver, an offline, printed discount coupons venture



2010

MoneySaver buys Grabbon and re-brands as Snapdeal; cash crunch prompts a pivot to marketplace e-commerce



2011

Receives first significant venture capital cheque of \$12 million from Nexus Venture Partners, and IndoUS Venture Partners



2014

Transitions to a managed marketplace model; raises close to \$1 billion from marquee investors

he was elevated to the post of CEO in November 2022.

32 | “Today, the day-to-day running of the company is with Himanshu. He understands the fashion space really well, as well as value commerce. Rohit and Kunal are still involved, but more on the strategic side. They interact with the management team quite regularly,” says a senior executive at the company.

As a new breed of sellers began to arrive on the platform, the company established stringent quality checks to instil a sense of predictability in product quality.

“For a T-shirt at ₹399, there is no brand catering to this segment. The consumer experience is quite erratic because the quality in this segment is erratic in general. One of the principal things we did was build predictability on quality,” Chakrawarti says.

Meanwhile, a host of initiatives were taken to enhance the buying experience for the first-time

e-commerce audience it targets, including the introduction of vernacular languages, more visual design, and AI and ML capabilities to customise feeds for each user.

To simplify pricing and reduce product costs, the firm removed shipping fees for customers in mid-2021. But this came at a price, with marketplace losses more than doubling to ₹350 crore in FY22.

“A large part (of the FY22 loss) was due to this. Our revenues come from commission plus shipment, so if you remove the shipment charge, it obviously impacts revenue and profitability. But in hindsight, it was a very good measure. It set us up for something far more customer focussed, far more relevant for our target group,” says Chakrawarti.

Snapdeal has limited its marketing spends to mostly influencer-led digital campaigns. According to Chakrawarti, the company enjoys 77 per cent repeat customers.

“It is not easy to sell low-quality

products. They seem to have got the quality part right and understood the value of having repeat customers. In most industries, it is very well known that every new customer will cost you a couple of thousand, but a retained customer is the one who is going to bring value to your business,” says Anil Joshi, Managing Partner of venture capital firm Unicorn India Ventures.

The company has reduced its workforce over the years, slashed a great deal of tech costs, and divested all non-core assets, including the fintech platform Freecharge and logistics arm Vulcan Express.

Snapdeal’s monthly burn rate has come down to about ₹1 crore from ₹40-45 crore in 2021, says a person in the know. Chakrawarti says the firm is hovering near break-even today. “We have been very near the black line for the last few months. We now have two formulas: unit economics efficiency and an acquisition engine that is not value-depletive. The burn

PAIN POINTS



After Snapdeal’s shift in focus to value commerce, its revenue is less than half its pre-pivot levels



It is looking at minimal marketing spends, as opposed to market leaders’ aggressive stance